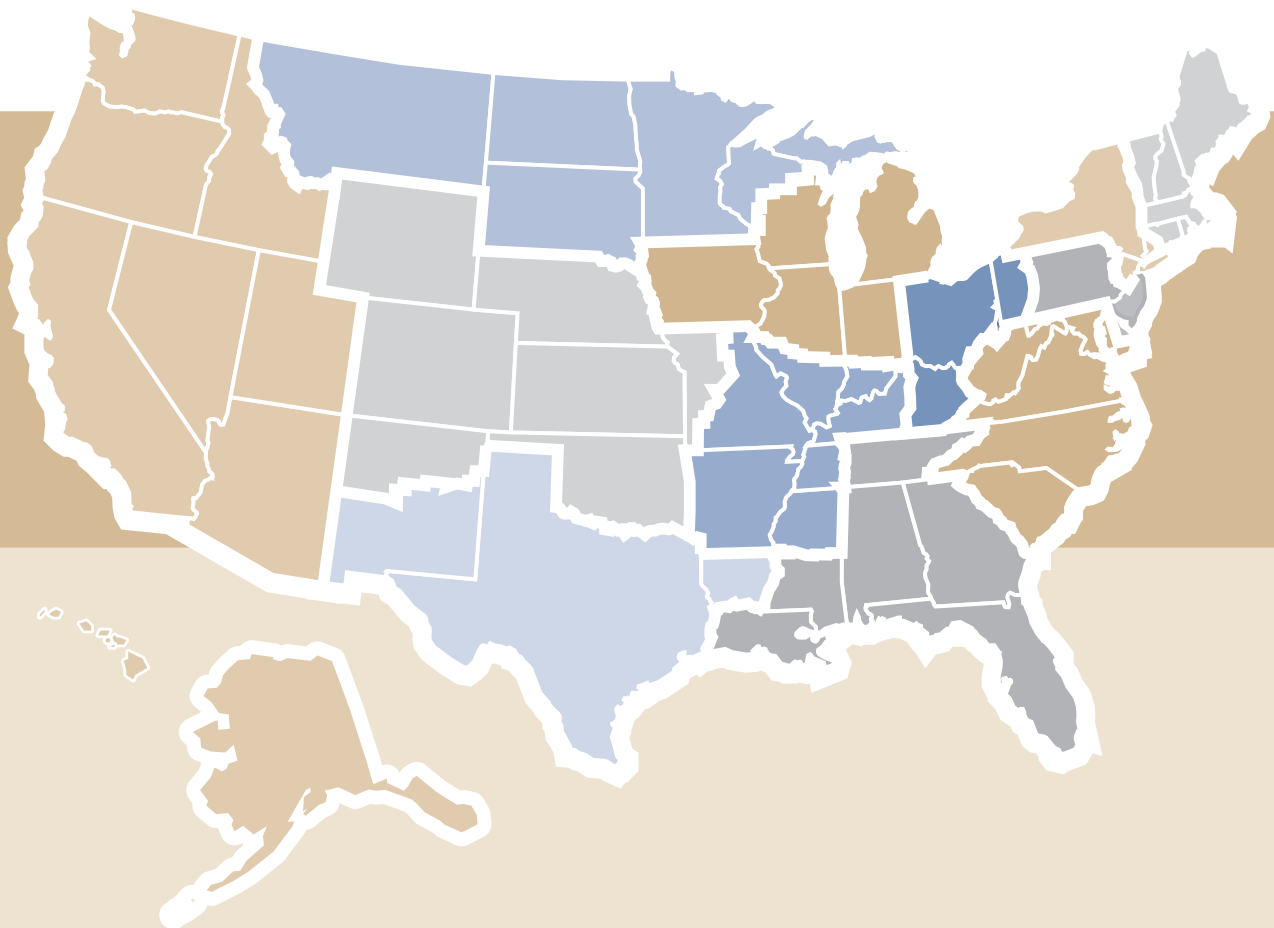




The Beige Book

Summary of Commentary on
Current Economic Conditions by
Federal Reserve District

August 2026



FEDERAL RESERVE SYSTEM

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About This Publication

What is the Beige Book?

The Beige Book is a Federal Reserve System publication about current economic conditions across the 12 Federal Reserve Districts. It characterizes regional economic conditions and prospects based on a variety of mostly qualitative information, gathered directly from each District's sources. Reports are published eight times per year.

What is the purpose of the Beige Book?

The Beige Book is intended to characterize the change in economic conditions since the last report. Outreach for the Beige Book is one of many ways the Federal Reserve System engages with businesses and other organizations about economic developments in their communities. Because this information is collected from a wide range of contacts through a variety of formal and informal methods, the Beige Book can complement other forms of regional information gathering. The Beige Book is not a commentary on the views of Federal Reserve officials.

How is the information collected?

Each Federal Reserve Bank gathers information on current economic conditions in its District through reports from Bank and Branch directors, plus interviews and online questionnaires completed by businesses, community organizations, economists, market experts, and other sources. Contacts are not selected at random; rather, Banks strive to curate a diverse set of sources that can provide accurate and objective information about a broad range of economic activities. The Beige Book serves as a regular summary of this information for the public.

How is the information used?

The information from contacts supplements the data and analysis used by Federal Reserve economists and staff to assess economic conditions in the Federal Reserve Districts. The qualitative nature of the Beige Book creates an opportunity to characterize dynamics and identify emerging trends in the economy that may not be readily apparent in the available economic data. This

Note: The Federal Reserve officially identifies Districts by number and Reserve Bank city. In the 12th District, the Seattle Branch serves Alaska, and the San Francisco Bank serves Hawaii. The System serves commonwealths and territories as follows: the New York Bank serves the Commonwealth of Puerto Rico and the U.S. Virgin Islands; the San Francisco Bank serves American Samoa, Guam, and the Commonwealth of the Northern Mariana Islands. The Board of Governors revised the branch boundaries of the System in February 1996.

information enables comparison of economic conditions in different parts of the country, which can be helpful for assessing the outlook for the national economy.

The Beige Book does not have the type of information I'm looking for. What other information is available?

The Federal Reserve System conducts a wide array of recurring surveys of businesses, households, and community organizations. A list of statistical releases compiled by the Federal Reserve Board is available [here](#), links to each of the Federal Reserve Banks are available [here](#), and a summary of the System's community outreach is available [here](#). In addition, [Fed Listens](#) events have been held around the country to hear about how monetary policy affects peoples' daily lives and livelihoods. The System also relies on a variety of [advisory councils](#)—whose members are drawn from a wide array of businesses, nonprofit organizations, and community groups—to hear diverse perspectives on the economy in carrying out its responsibilities.

National Summary

Overall Economic Activity

Economic activity increased modestly since early July. Ten of the twelve Federal Reserve Districts reported growth in the slight to moderate range; two Districts reported no change. Consumer spending grew slightly on balance; reports reflected both heightened price sensitivity on the one hand and solid high-end purchases on the other. Auto sales were mostly subdued, dampened by downbeat consumer confidence, high fuel prices, and rising financing costs. Tourism activity increased. Notably, airlines reported strong demand despite higher airfares. Manufacturing activity picked up across most Districts, with some highlighting ongoing strength in demand for defense and data center-related orders. Services firms reported slight to modest increases in activity. Financial conditions improved slightly as loan volumes remained solid or increased across most Districts. Residential construction declined while nonresidential construction increased on balance, with some Districts noting a high concentration of activity related to data center projects. Agriculture conditions saw slight improvement but generally remained strained; the livestock sector was strong while conditions were stressed among crop producers. The general outlook for the coming months was positive, but sentiment was mixed across sectors, with contacts reporting heightened uncertainty surrounding the effects of higher energy prices, policy, and international conflict.

Labor Markets

Employment rose very slightly overall, with three Districts showing modest gains in employment, four reporting slight gains, and five Districts experiencing no change. Eight Districts saw a change in their pace of growth from the previous report, but there was less overall dispersion among Districts. Healthy labor demand was seen most frequently in manufacturing, construction, and some service sectors, while retail and hospitality sectors saw falling labor demand. Labor availability was mixed. Skilled trades and technical workers were difficult to find. Districts also reported both positive and negative effects of artificial intelligence on labor demand. Wage growth was modest to moderate in most Districts. Significant wage increases were most often connected to demand for skilled workers in construction and manufacturing.

Note: This report was prepared at the Federal Reserve Bank of Minneapolis based on information collected on or before August 24, 2026. This document summarizes comments received from contacts outside the Federal Reserve System and is not a commentary on the views of Federal Reserve officials.

Prices

Prices increased moderately in eight Districts, with two Districts reporting modest increases, one slight increases, and one robust increases. Compared with the previous reporting period, the pace of price increases was the same in eight Districts, decreased in three, and increased in one. Input price pressures were notably elevated in manufacturing and construction across multiple Districts, with widespread reports of price increases for energy, transportation, and raw materials, particularly metals and petrochemicals. Retail and manufacturing contacts continued to note tariff-related impacts in multiple Districts. Firms also broadly reported significant health care and insurance cost pressures. Consumer-facing contacts in a few Districts noted that heightened price sensitivity among customers was putting a limit on their ability to pass through input price increases.

Highlights by Federal Reserve District

Boston

Economic activity grew slightly, with similar performance across most sectors. Employment and wages each ticked up a bit, and prices rose slightly as well. Boston experienced strong consumer spending in recent months, but spending was flat or softer elsewhere. The outlook was marked by increased concerns related to the negative impact of inflation on consumers' budgets.

New York

Economic activity continued to increase modestly, with particular strength in manufacturing. On balance, employment held steady. Selling price increases eased slightly but remained moderate, while input prices rose strongly. Supply chain strains emerged in the tech and defense sectors.

Philadelphia

Business activity rose modestly this period, up from a slight increase in the last period. Employment improved slightly, as both manufacturers and nonmanufacturers reported increased hiring. Wage inflation again grew modestly, and firm price inflation edged down to a modest pace. Expectations for future growth rose at a strong pace for manufacturers but remained below the long-run average for nonmanufacturers.

Cleveland

Fourth District business activity increased modestly, with moderate growth expected in the months ahead. Manufacturing demand grew robustly, driven by data centers and defense spending, while consumer spending declined for the fourth consecutive period. Nonlabor costs remained robust for the tenth consecutive period, and prices rose moderately.

Richmond

The regional economy continued to expand moderately this cycle. Consumer spending continued to grow, particularly for travel and experiential goods and services. Port volumes grew moderately and nonfinancial services saw modest growth in demand and revenues. The remaining sectors reported activity as flat to slightly down. Employment and price growth remained moderate.

Atlanta

Economic activity grew modestly. Employment levels remained largely flat. Wages rose moderately, and costs and prices increased at a moderate pace. Consumer spending and transportation activity expanded modestly. Residential real estate conditions were little changed. Commercial real estate, manufacturing, and energy sectors grew moderately. Lending increased at a modest pace.

Chicago

Economic activity increased slightly. Manufacturing demand rose modestly; employment was up slightly; consumer spending and construction and real estate activity were flat; business spending declined slightly; and nonbusiness contacts saw no change in economic activity. Prices rose moderately, wages rose modestly, and financial conditions tightened slightly. Farm income expectations improved some.

St. Louis

Economic activity has modestly increased. Employment was unchanged and wage growth remained moderate. Prices have risen at a robust pace and were widespread. The outlook has slightly improved, with contacts citing uncertainty, supply chain disruptions, and high fuel costs from the Middle East conflict continuing to affect conditions.

Minneapolis

Ninth District economic activity grew slightly. Employment grew and hiring increased. Prices increased at the same pace as the last report, with elevated input pressures. Consumer spending was down and tourism was hampered by heat and wildfire smoke. Loan demand grew slightly. Agricultural contacts were worried about drought.

Kansas City

Business activity had little change within the Tenth District, though underlying conditions softened. Retailers and manufacturers drew down inventories amid elevated prices and uncertain demand. Labor was the top growth constraint as hiring difficulties broadened. Cost pressure prompted more frequent price adjustments. Expectations for the District became more mixed across sectors.

Dallas

Economic activity in the Eleventh District expanded moderately. Growth picked up in the manufacturing, banking, and energy sectors, while it slowed in nonfinancial services. Retail sales increased. Agriculture conditions deteriorated due to drought conditions. Employment grew modestly with moderate wage growth. Price rose moderately to robustly. Outlooks were stable to positive.

San Francisco

Economic activity was little changed. Employers maintained staffing levels. Prices rose modestly, while wages increased slightly. Retail sales were stable, while demand for services eased slightly. Conditions were little changed in manufacturing and agriculture. Residential real estate activity declined somewhat, while commercial real estate and financial services activity remained stable.



Federal Reserve Bank of Boston

Summary of Economic Activity

Economic activity expanded further at a slight pace. Consumer spending grew only marginally overall. Manufacturing activity ticked up further on balance. Nonfinancial services firms noted small revenue gains, and bank loan volume increased a bit. Commercial real estate activity was mostly unchanged, but office leasing showed small improvements. Residential real estate sales improved modestly. Employment edged up, although labor demand was somewhat mixed. Wages rose slightly overall. Output prices continued to rise at a slight pace, with contacts expressing heightened uncertainty about the path of inflation. The outlook was mixed, but became somewhat more pessimistic on balance, with contacts expressing concerns about inflation, conflict in the Middle East, tariffs, and longer-term interest rates.

Labor Markets

Head counts rose slightly overall, reflecting minimal to moderate increases among various manufacturers, tourism and retail businesses, and nonfinancial services firms. Employment was flat for hospitals and financial services firms, whereas moderate layoffs occurred in higher education. Job openings ranged from flat to up moderately among nonfinancial services firms and rose a bit among retailers and manufacturers. On the other hand, one college enacted a hiring freeze. Job opportunities for recent college graduates improved from a year ago but remained scarce relative to the number of applicants. Retail and tourism contacts perceived small improvements in labor supply, but selected contacts in other sectors experienced tighter labor supply. Wages and benefits rose slightly on average, with most of the gains occurring among manufacturers. Retail and tourism contacts saw modest increases in health insurance costs. On average, contacts expected head counts to rise marginally over the next six months.

Prices

Output prices rose slightly on average, although many firms kept their prices fixed. The majority of manufacturers and services firms registered stable output prices, although some reported minimal price increases. Prices rose moderately at high-end resorts but rose only minimally for budget-friendly accommodations. Cost pressures varied across industries, although some common drivers existed, most notably fuel and energy. Specifically, restaurants' menu prices

increased modestly in response to higher food and energy costs. Retailers cited elevated transportation and fuel expenses as factors that contributed to small price increases. Manufacturers reported slight increases in input prices, citing cost pressures from fuel and energy, raw materials, tariffs, and transportation. Input prices were mostly stable among financial and nonfinancial services firms. Hospitals planned to keep prices steady going forward, while expected price changes among tourism contacts were mixed. Contacts across industries expressed heightened uncertainty and upside risks to inflation around elevated energy prices and potential new tariffs.

Consumer Spending

Consumer spending increased slightly in recent months, as tourism spending grew modestly and retail spending was flat on balance. Hotel contacts saw modest revenue gains on average, driven by increases in daily room rates, particularly among higher-end accommodations and for Boston locations. Mid-market lodging options saw only very small increases in revenue amid softer demand. Boston restaurant and retail sales were strong throughout July and into early August, rising considerably from the previous summer; the momentum started in June with the World Cup and persisted during July's tall ships festival—part of the nation's semi-quincentennial—and other high-profile events. Restaurant and retail sales on Cape Cod decreased modestly, as above-average temperatures kept visitors at beaches instead of shopping districts, and higher lodging costs left households with less to spend otherwise. Retailers elsewhere in the First District saw flat revenues, with some noting softer demand and rising inventories, while others saw modest revenue growth. The outlook for consumer spending was cautious. Many contacts cited high energy costs as a strain on consumer budgets and were concerned that the impacts could intensify during the home heating season if the conflict in the Middle East remained unresolved.

Manufacturing and Distribution

Manufacturing activity and revenues were up slightly in recent months, with most contacts reporting performance at or above expectations. Profits increased somewhat on average, but the changes ranged from slight decreases to large increases. Most firms reported solid to robust demand, but some consumer-facing firms experienced softer demand, and a polymer manufacturer cited tariff uncertainty as a drag on demand for its materials. Capital expenditures increased slightly overall, with one contact noting higher spending on automation in response to labor scarcity. The outlook improved on balance, even though more contacts perceived an increase in uncertainty rather than a decrease. Contacts expected business activity to expand overall but cited the conflict in the Middle East, inflationary pressures, and tariffs as ongoing sources of uncertainty.

Nonfinancial Services

Revenues increased slightly on average among nonfinancial services firms, with one professional services firm noting a large increase. However, education contacts noted a moderate slowdown in activity, as one Massachusetts college closed recently, and another reversed expansion plans and trimmed head counts in response to declining enrollments. Capital expenditures increased marginally on average among contacts in the health-care, software, legal, and accounting industries, and one health-care contact expected further slight increases in capital outlays going forward. Contacts agreed that uncertainty remained elevated, but most carried on with decision-making regardless. The outlook became more optimistic on balance, with contacts in professional services expecting activity to pick up a bit going forward. However, the outlook for higher education appeared increasingly pessimistic.

Financial Services

Business activity among banking contacts and non-bank financial services firms increased slightly on average in recent months. A large financial services firm reported stable revenues, profits, and capital expenditures. Loan volume among banking contacts grew somewhat overall, although some recorded no change in loan volume and a few experienced moderate increases. Changes in loan demand ranged from very small decreases to moderate increases. Credit standards were mostly unchanged, although one contact said standards had tightened. Loan pricing rose a bit, and nonperforming loans were unchanged. The outlook was mostly stable, although banking contacts expressed growing uncertainty related to inflation, interest rates, tariffs, and the impact of those factors on spending and borrowing by households and businesses.

Real Estate and Construction

Commercial real estate activity remained stable on average. In the industrial market, leasing activity was mixed, and rents and vacancy rates were flat. Retail leasing activity, rents, and vacancy rates were unchanged, with one contact noting lack of new supply. Office leasing activity increased slightly, driven by class A properties, resulting in a small increase in rents and reduction in vacancy rates. One contact attributed the improvements to increased return-to-office policies by large employers. Multifamily leasing softened, with vacancy rates edging up, and construction slowing. Nonresidential construction was flat. Loan activity to the sector increased, resulting in tighter credit spreads. Contacts expressed a somewhat more negative outlook, with increased uncertainty tied mostly to interest rates.

Residential markets saw a modest increase in activity for both single-family homes and condominiums. Closed and pending sales increased somewhat more than expected for the season, which one contact attributed to the region's relatively cool spring and resulting delay in the typical

warm-weather surge. There were small increases in inventory in most New England states, though inventory continued to decrease in Massachusetts. Sales prices remained stable on average. Contacts reported a mostly positive outlook, consistent with the previous cycle, although one New Hampshire contact perceived the market was softening.

For more information about District economic conditions visit: <https://www.bostonfed.org/in-the-region.aspx>.



Federal Reserve Bank of Dallas

Summary of Economic Activity

Economic activity in the Eleventh District expanded moderately over the reporting period. Growth picked up in the manufacturing, banking, and energy sectors, while it slowed in nonfinancial services. Retail sales increased but auto sales remained soft. Agriculture conditions deteriorated due to drought conditions, but wheat and cotton prices improved. Employment grew modestly with moderate wage growth. Prices rose moderately, except in the manufacturing sector which experienced robust price growth. Outlooks were stable to positive.

Labor Markets

Employment grew modestly over the past six weeks; however, staffing firms reported pockets of strength in certain service sectors, such as health care and legal work. Contacts reported numerous instances of labor market mismatch in terms of skills, geography, and expected wages. One contact noted job candidates asking for “San Francisco wages,” while another stated migration of skilled manufacturing workers from California helped ease regional labor shortages. When asked about impediments to hiring, a survey of Texas business executives cited a lack of available applicants, applicants looking for more pay than offered, and a lack of technical skills as the top three.

Wage growth was moderate. A staffing firm reported wage expectations increased among workers, but that employers had not adjusted to the reality that low-paying jobs will not attract applicants. Employees with certain skill sets fetch a higher wage premium. Wage pressures were also noted for field technicians for oil and gas equipment.

Prices

Price growth was moderate to robust over the reporting period. Price pressures remained elevated for manufacturing firms while stable for service sector firms. The ongoing Middle East conflict continues to impact fuel, petrochemical products, fertilizer, and transport prices, all of which are elevated compared to before the crisis. In addition, certain other input and materials prices remain high, such as copper and computer memory related components. Airlines reported maintaining ticket prices because demand is supporting the current higher prices that resulted when

the conflict drove up jet fuel prices. Some retail contacts reported holding off on price increases until later in the year or next year.

Manufacturing

Manufacturing activity growth was moderate with a pick up in durables but contraction in non-durables. Durable manufacturing strength has persisted in machinery, transportation equipment, and computer manufacturing and recently also spread to metals. While overall nondurable activity weakened, Gulf Coast refiners increased output and petrochemical production was stable. Despite fuel exports hitting new highs, downstream operators continue to view current profitability as a transitory geopolitical windfall. The manufacturing outlook improved significantly, although many contacts voiced concerns regarding geopolitical instability.

Retail Sales

Retail sales continued to rise modestly. Retailers noted that consumers appeared resilient in the face of higher gasoline prices. Auto sales softened in July due to challenges facing consumers, including elevated financing costs, high gasoline prices, and low consumer confidence. Some retailers mentioned that tariff refunds are occurring and having a meaningful impact by funding selective pricing strategies. Retailers have a positive outlook going forward as the headwinds from high oil prices are weaker than anticipated.

Nonfinancial Services

Revenue in nonfinancial services grew modestly over the past six weeks. Growth was led by the transportation and warehousing sectors and supported by the accommodation and food services and other services sectors. Transportation services firms reported slight declines in small parcel volume but growth in air freight volume due to AI-driven semiconductor demand. Staffing firms reported robust activity with one contact noting that activity in July was about 30 percent higher than last year. Outlooks were stable with continuing concerns regarding inflation, demand, and geopolitical uncertainty.

Construction and Real Estate

Housing market activity remained sluggish, with sales declining seasonally. Builders continued offering significant rate buydowns and discounts to attract buyers amid weak demand, compressing margins to below pre-pandemic levels. Finished lot inventories are still elevated in Dallas–Fort Worth. Builders reported profitability pressures from higher-cost new lots, leading some to accept losses or walk away from deals. Demand from the immigrant buyer segment

remained weak, impacting sales in certain markets. Outlooks remained cautious, and meaningful improvement is not expected in the near term.

Commercial real estate activity improved on net. Apartment absorption was solid, though elevated concessions persisted and rents were flat to down across major metros. Industrial activity showed strength with solid leasing and absorption, particularly for larger spaces. Office markets continued recovering with positive absorption and flat to declining vacancy, though older buildings struggled. The retail market remained tight with low vacancy rates and modest new construction.

Financial Services

Loan volume and loan demand expanded further in August. Volume rose across all loan types. Credit standards and terms tightened slightly, but loan pricing declined. Overall loan performance improved for the first time since 2022. Bankers reported expanding general business activity and remain optimistic about the future. Survey respondents expect strong growth in loan demand and business activity with a very slight deterioration in loan performance six months from now.

Energy

Eleventh District oilfield activity picked up over the past six weeks. Some contacts indicated this was primarily a previously planned increase rather than a price-driven pick up, particularly in the Permian. Overall, upstream shale spending remained disciplined. However, oilfield services firms were somewhat optimistic about pricing, which reflected improved demand and passthrough of some recent cost increases. Price pressures were evident in fuel, steel tubing, oilfield chemicals and components for engines and transmissions. While sentiment and expectations for the months ahead were broadly positive, contacts are concerned about low crude oil inventories and lasting impacts from damaged energy infrastructure abroad.

Agriculture

High temperatures and persistent drought in some areas of the District have hampered crop conditions over the past six weeks. Cotton and grain yields are expected to be down this year, with particular weakness in wheat production. Cotton prices remained decent, buoyed by strong global demand, and grain prices rose over the reporting period. Conflict between Russia and Ukraine in the Black Sea has shut down a significant share of grain trade, particularly wheat, pushing up wheat prices markedly. Cattle prices declined but remained high amid tight supply and solid beef demand. The presence of New World screwworm has been well managed and has not meaningfully impacted the broader market for beef production or demand, according to contacts. There was optimism around the outlook for agriculture in 2027 based on the favorable winter forecast for a typically rainy El Niño weather pattern.

Community Perspectives

Nonprofits reported sustained high demand for assistance as households are under mounting financial pressure from the higher cost of essentials, such as food and utilities. Cuts in the Supplemental Nutrition Assistance Plans are expected to push up food insecurity. Organizations anticipate higher demand with no corresponding increase in resources, placing stress on both service providers and the communities they serve. Hospitals are adapting to the end of enhanced premium tax credits for Affordable Care Act insurance plans, which significantly increased monthly payments and deductibles. As a result, there has been a decline in the utilization of elective health-care services and in the ability of patients to pay for emergency room services. Hospitals are responding by slowing hiring and capital investment.

For more information about District economic conditions visit: <https://www.dallasfed.org/research/texas>.